Continuation of economics of inequality and poverty

Principles of Proportional, Progressive and Regressive taxation:

Proportional taxation: rate of tax remains constant irrespective of the income.
Progressive taxation: rate of tax increases as the income of the taxpayer increases
Regressive taxation: as income increases the rate of tax decreases.

Why are indirect taxes regressive in nature?

	Person A	Person B
Income	$3000	$30,000
Rate of indirect tax	7%	7%
Tax paid	$210	$2100

Person A will be affected more than Person B due to indirect tax.

Calculation of direct and indirect taxes

Average Rate of Tax: tax paid divided by the total income expressed as percentage.

Marginal Tax Rate: additional tax paid on additional income expressed as percentage.

Marginal Tax Rate = $\frac{\Delta Tax}{\Delta Income}$ x 100

Solved example 1

Calculate the amount of tax paid on annual income of $59,000.

Annual Income [$]	Marginal Tax Rate [%]
0 -10,000	-
10,001 – 25000	9
25,001 – 45,000	22
45,001 -115,000	40

[0 x 10,000] + [9% x 15,000] + [22% x 20,000] + [40% x 14000] = 1350+ 4400 + 5600 = $11350

Average Rate of tax = $\frac{Total\ Tax}{Total\ Income}\ x100$ = $\frac{11350}{59000}$ x 100 = 19.23%

Solved example 2

Income = $100,000
Income tax = $20,000
Disposable income = $ 80,000
Save 10% of disposable income and spend the rest. Rate of GST = 10%. Need to calculate the GST amount and the total spending on goods and services.
10% of 80000 = $8000
Total spending including GST = $72000

Let X be the value of the goods

1X + 10/100X = 72000

1X + 0.1X = 72,000

1.1X = 72,000

X = $\frac{72,000}{1.1}$ = $65,454.54

Value of Goods and Services = $65,454.54

Total Spending - Spending on goods and services = GST amount

$72,000 - $65,454.54 = $6545.45

Solved example 3

John's annual income is $40,000

Annual Income $	Tax rate %
0-10,000	-
10,001 – 30,000	10%
30,001 – 50,000	20%

John saves 20% of the disposable income and spends the remaining 80%. GST rate is 15%. What is the average rate of Tax for John for both direct and indirect taxes.

Total direct tax = [0 x 10,000] + [0.1 X 20,000] + [0.2 X 10,000] = $4000.

Disposable income = $40,000 - $4000 = $36,000

Savings = 20% of disposable income = 20% x 36,000 = $7,200

Total Spending on goods and services + GST = $36,000 - $7200 = $28,800

Let X be the value of goods

1x + 15/100x = $28,800

1.15X = 28,800

X = 25,043.47

GST = 28,800 – 25,043.47 = $3756.53

Total Tax = 4000 + 3756.53 = $7756.53

Average Rate of Tax = $\frac{Total\ Tax}{Total\ Income}\ x100$ = 19.39%

Evaluating taxes as a policy to redistribute income

Direct taxes – progressive – resulting in equality in distribution and less reliance on indirect taxes – regressive in nature.

However, income taxes reduce the disposable income – disincentive to work as well as to save- especially high-income earners – Standard of living decreases – savings decrease – investment decrease.

Due to high corporate tax – incentive to invest will decrease – production of capital goods will decrease – result in low economic growth.

Wealth taxes – negative effect on efficiency and innovation – incentive to invest is less in productive capital – low economic growth

Lower taxes – may not result in more work, it only results in more leisure. Certain wealth taxes – e.g. tax on real estate are equitable.

Other policies to reduce income and wealth inequalities and poverty

Policies to reduce inequality of opportunity – investment in human capital

Inequality of opportunity – major cause of income and wealth inequality. To tackle this investment in human capital can be used.

Constraints:

- Time lags
- Negative impact on government budget
- Brain Drain

Transfer Payments – cash payments made by the government to individuals specifically for the purpose of redistributing income away from certain groups and towards other groups.

E.g. welfare payments to poor, old age pensions to retired workers, disability pension, unemployment benefits. Funded through tax revenue and play a major role in income distribution.

Constraints

- Opportunity cost
- Act as an disincentive to work

Targeted government spending on goods and services

Government spends on merit goods – goods that have positive consumption externalities, underproduced and under consumed e.g. education and healthcare.

Hence, the government subsidises and also makes them more affordable through transfer payments.

Constraints

- Burden on the government – opportunity cost
- Brain drain

Universal Basic Income – method that provides residents in a country with a sum of money that they would receive regardless of any other income they may have.

Financed through taxes and savings by cutting other social service programmes.

Effective – easy to carry out, support diverse groups, freedom to workers – leave jobs they are unhappy with, during recession stabilises the economy.

Constraints

- Opportunity cost for the government
- Less incentive of work
- Households that do not need will also receive [middle and rich also receive]
- Financed by serious cuts in other social services e.g. transfer payments to vulnerable groups

Alternate -to offer basic income only to those people whose income falls below a certain amount.

Policies to reduce discrimination

Discrimination – illegal by law

Government – laws efforts should be made to educate employers about multiculturalism.

Constraints

- Employers may not comply with law
- Need administrative machinery to ensure that policies are implement

Government Intervention

Minimum Wage Legislation – setting national minimum wage above the equilibrium wage – increase wages of low-income workers

Constraints

- Allocative inefficiency due to surplus labour
- Welfare loss

Demand Side Policies – mainly influence Aggregate Demand [C + I + G + [X – M]]

Fiscal Policy – use of government spending and or taxation to manage the level of AD.

Two directions of fiscal policy

Government spending increase and or taxation decreases – expansionary fiscal policy – help to increase AD – RGDP will also increase – hence, unemployment will decrease.

Government spending will decrease and or taxation will increase – contractionary fiscal policy – help to decrease AD – due to this price levels will decrease.

Government Budget

Annual financial statement of the government which highlights government revenue and government expenditure.

Main source of government revenue is taxes

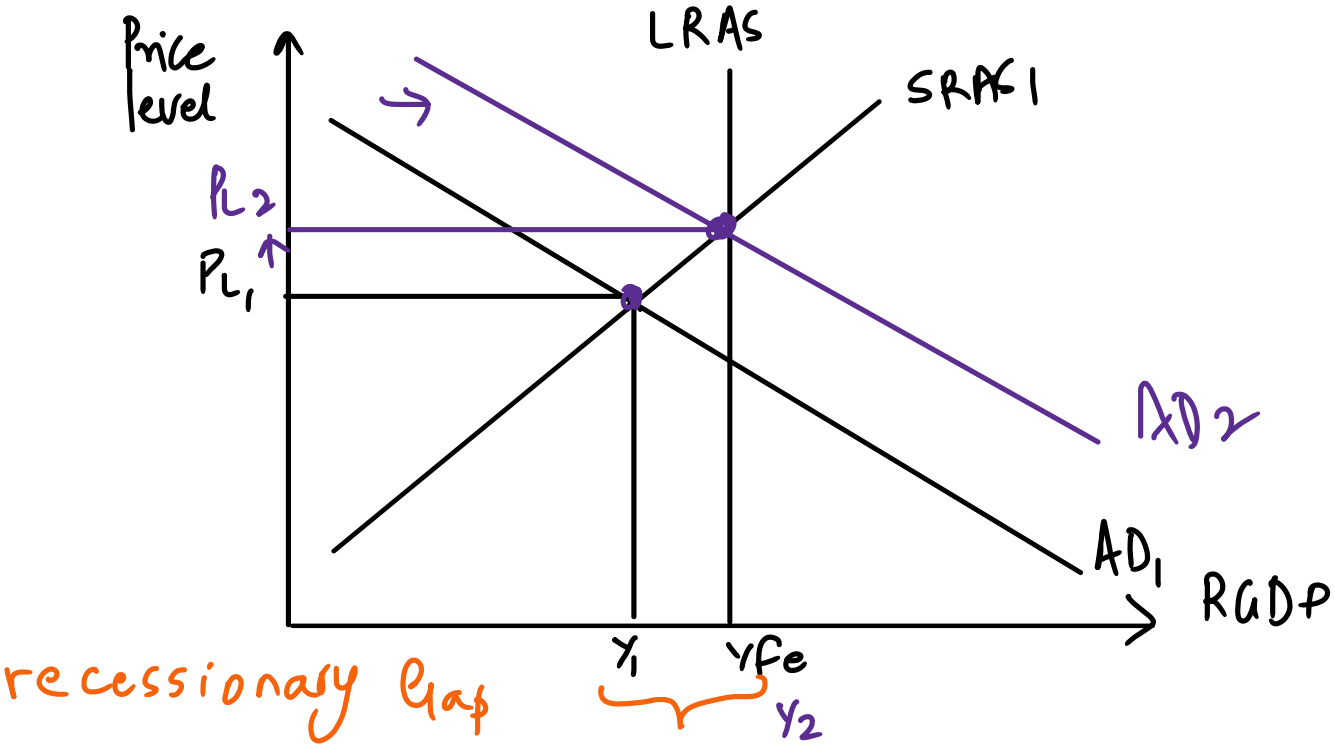
Government expenditure is on current expenditure and capital expenditure.

- Government revenue = Government expenditure called as balanced budget
- Government revenue > Government expenditure called as budget surplus
- Government revenue < Government expenditure called as budget deficit

During budget deficit – government will need to borrow from the private sector by issuing bonds – government debt will increase.

How fiscal policy works?

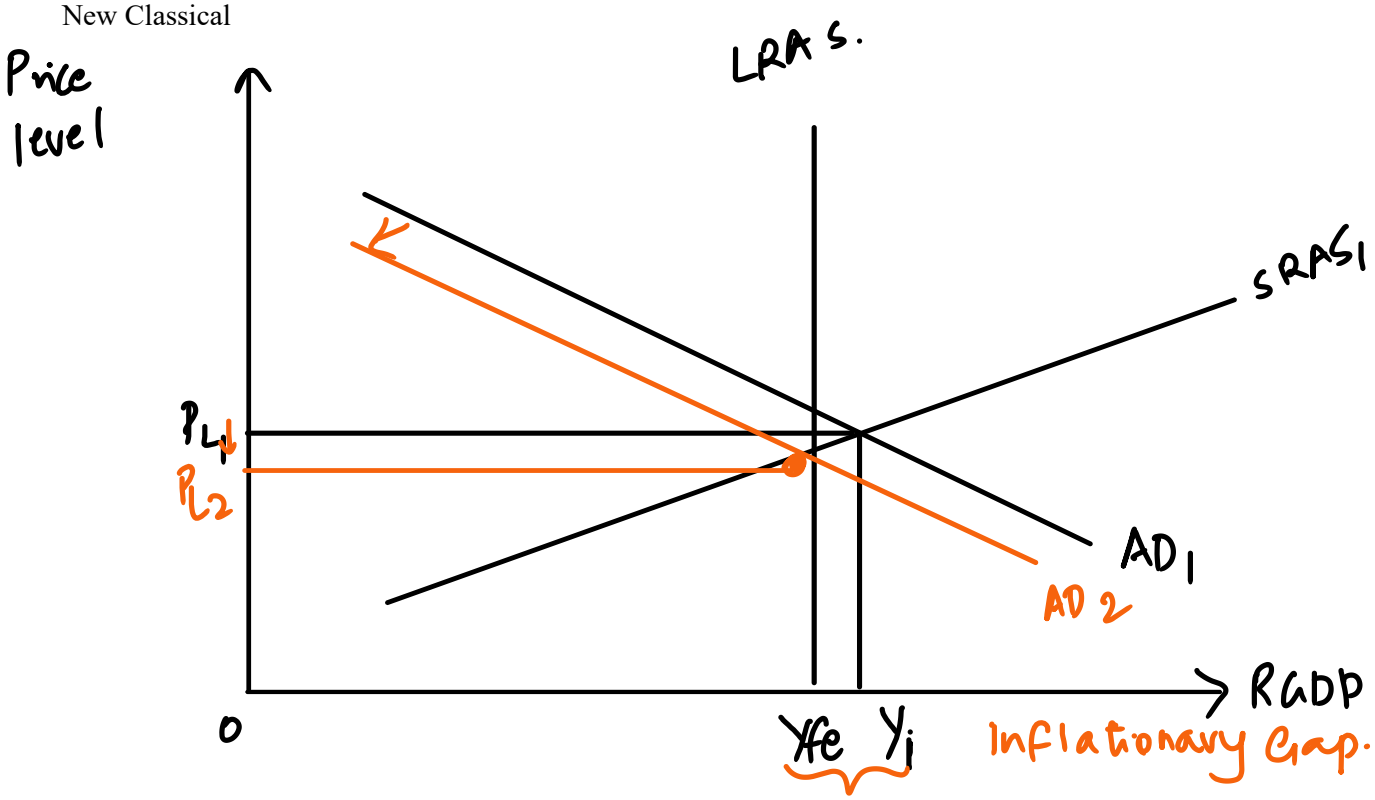
In a recession, use expansionary fiscal policy



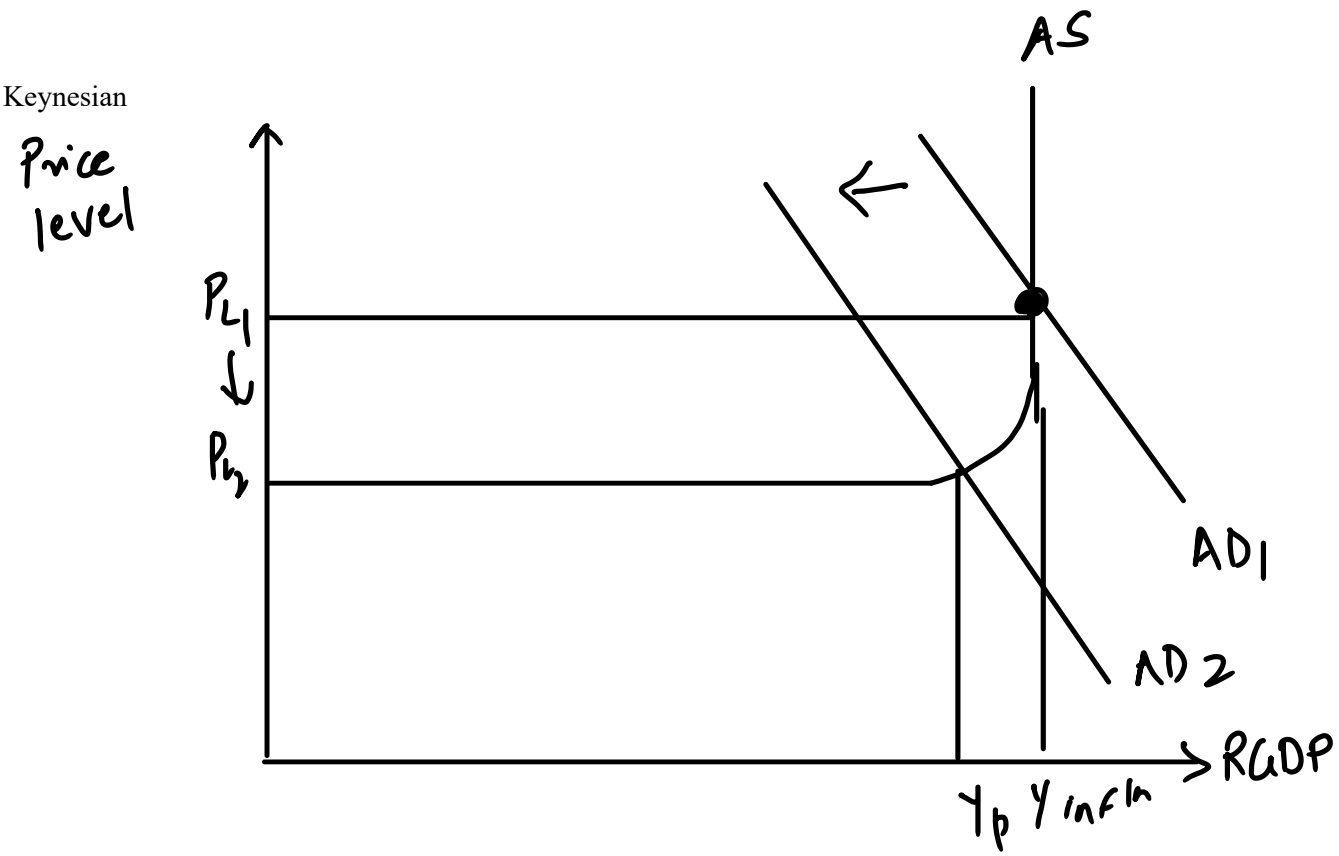
Expansionary fiscal policy – G will increase – AD will increase as AD = C + I + G + [X -M]
Income tax will decrease – disposable income will increase – C will increase – AD will increase.
Corporate tax will decrease – after tax profits will increase – I will increase – AD will increase
If consumer and business confidence is low, then C and I will not increase.

Contractionary fiscal policy – G will decrease – AD will decrease as AD = C + I + G + [X -M]
Income tax increase – disposable income decreasing – C will decrease – AD will decrease
Corporate tax increases – after tax profits will decrease – I will decrease – AD will decrease – Price levels decrease

New Classical



Keynesian



Keynesian Multiplier

Any change in expenditure – C or I or G will lead to a magnified change in AD and RGDP.
E.g. if I increases by $100 – GDP will increase by more than $100.
Marginal Propensity to Consume: additional consumption from an additional dollar of income.
MPC = $\frac{\Delta C}{\Delta Y}$
If MPC = 0.8
If income increases by $1 then consumption will increase by 80 cents.
If income decreases by $300 then consumption will decrease by $240.

Multiplier Process

If MPC = 0.8

G increases by $1000 – AD will increase by $1000 – GDP will increase by $1000 – Income will increase by $1000.

Hence, Consumption will increase by 800 – AD will increase by $800 – GDP will increase by $800 – income will increase by $800

Hence, consumption will increase by $640 – AD will increase by $640 – GDP will increase by $640 – income will increase $640

If G increases by $1000 – then AD and GDP will increase by a lot more than $1000.

Multiplier [K] = $\frac{1}{1-MPC}$

K = $\frac{1}{1-0.8}$ = 5

Total Change in GDP = Initial change in expenditure x Multiplier
= $1000 x 5 = $5000

